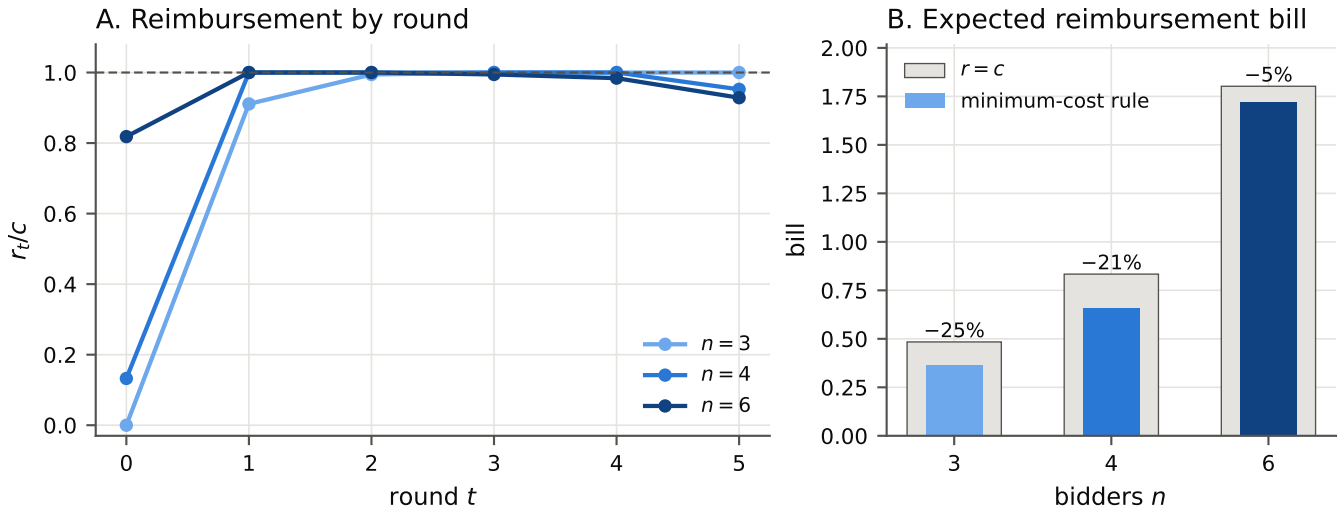
A. Reimbursement by round
r_t/c
1.0
0.8
0.6
0.4
0.2
0.0
0
1
2
3
4
5
round t
$n = 3$
$n = 4$
$n = 6$
B. Expected reimbursement bill
bill
2.00
1.75
1.50
1.25
1.00
0.75
0.50
0.25
0.00
$r = c$
minimum-cost rule
−25%
−21%
−5%
3
4
6
bidders n